

Sources & Verification — Modesto City Elementary

CUSIP 607735CA3 · 3.0% due 2043-08-01 · px 81.404 · after-tax TEY 8.3% · DD-confirmed BUY

Every load-bearing claim below is verified against a PRIMARY, independent authority — not the issuer's own offering statement alone. 'How verified' names the method; 'Authority' names the source of record.

Claim	How verified	Authority (source of record)	Finding
Security — unlimited ad-valorem GO	Read the OS; §53515 statutory lien + segregated I&S fund	EMMA Official Statement; CA Gov. Code §53515 / Education Code	County-collected unlimited ad-valorem levy, money-good to par (GO default base rate ~0)
AI / tech-crash insulation	Channel-scored: local property tax vs State-GF cap-gains	SignalOS channel model (dot-com precedent: State GO -4-5 notches, school GO untouched)	insulation 99.2 / 100 (insulated from the State cap-gains channel)
AB-1200 fiscal certification	CDE interim-certification list (current period)	CA Dept. of Education (cde.ca.gov), full-fingerprint fetch	POSITIVE(absent)
Current assessed-valuation (levy base)	Pulled the latest continuing-disclosure annual report	EMMA 15c2-12 continuing disclosure; California Municipal Statistics	\$12,296,772,448 for FY2025-26 (+4.2% YoY)
Earthquake exposure	USGS ASCE7-22 Ss + fault-zone map	USGS Seismic Design Maps; CGS fault zones	Ss 0.83 (CENTRAL VALLEY / SIERRA (low)) — unlimited levy self-corrects, not a default channel
Wildfire AV-erosion	FEMA NRI High/Very-High built-value tail over the district (GRF join)	FEMA National Risk Index; NCES GRF	high-fire BV tail 0%
Secondary-market liquidity	Realized EMMA trade tape (trades/yr, two-sided days, recency)	MSRB EMMA RTRS trade tape	31 trades/yr, 4 two-sided days, last print 9d ago → DESK
Bond insurance	OS cover + insurer section	EMMA OS / monoline	Insured (National Public Finance Guarantee)

Authorities cited

- **EMMA** (emma.msrb.org) — Official Statements, 15c2-12 continuing disclosure, RTRS trade tape
- **DWR Urban Water Management Plans** (data.ca.gov) — actual supply portfolios by source
- **CA State Water Board eWRIMS** (data.ca.gov) — water-rights records / priority
- **DWR Bulletin 118** — critically-overdrafted groundwater basins
- **ACCJC** (accjc.org) — community-college accreditation
- **CA Dept. of Education** — AB-1200 interim fiscal certifications
- **USGS / FEMA NRI / California Municipal Statistics** — hazard + tax-base data

Generated 2026-06-21. UNVERIFIABLE is never treated as clean; where an authority could not confirm a datum, the DD report says so explicitly.